

durable moat. This durable moat causes customers like me to continue to go there regardless of the wait. This moat allows Chipotle to have the ability to earn supernormal profits. Best I can tell, those profits are here to stay—at least for the next decade or longer.

There are businesses with deep moats all around us—American Express, Coca-Cola, H&R Block, Citigroup, BMW, Harley-Davidson, WD-40, Nabisco's Oreo Cookies—the list is endless. There are businesses with shallow or nonexistent moats all around us as well—Delta Airlines, General Motors, Cooper Tires, Encyclopedia Britannica, Gateway Computers, and so on.

Sometimes the moat is hidden. Take a look at Tesoro Corporation. It is in the oil refining business—which is a commodity. Tesoro has no control over the price of its principal raw material, crude oil. It has no control over the principal finished good, gasoline. Nonetheless, it has a fine moat. Tesoro's refineries are primarily on the West Coast and Hawaii. Refining on the West Coast is a great business with a good moat. There hasn't been a refinery built in the United States for the past 20 years. Over that period, the number of refineries has gone down from 220 to 150, while oil demand has gone up about 2 percent a year. The average U.S. refinery is operating at well over 90 percent of capacity. Anytime you have a surge in demand, refining margins escalate because there is just not enough capacity.

West Coast refiners also have a good moat because state EPA regulations in California and Hawaii are very stringent and require unique formulations. Refining on the West Coast and Hawaii carries much higher margins than the rest of the country. A refiner in Texas cannot easily serve the California market. The California refiner is the one that usually serves the California market, which means that when Tesoro has a refinery in California, it has a very large captive market. In the overwhelming majority of businesses, the various moats are mostly hidden or only in partial view. It takes some digging to get to the moat.

How do we know when a business has a hidden moat and what that moat is? The answer is usually visible from looking at its financial statements. Good businesses with good moats, like our barber, generate high returns on invested capital. The balance sheet tells us the amount of capital deployed